

ALABAMA DEPARTMENT OF REVENUE INDIVIDUAL AND CORPORATE TAX
DIVISION
ADMINISTRATIVE CODE

CHAPTER 810-3-6
GAIN OR LOSS - BASIS OF PROPERTY; ADJUSTED BASIS

810-3-6-.15 Basis Of Replacement Property In Sale Of Stock To
An Employee StockOwnership Plan Or Cooperative.

If securities are sold to an employee stock ownership plan or an eligible work-owned cooperative, and gain was not recognized pursuant to §40-18-8(n), Code of Ala. 1975, the basis of the qualified replacement property, as defined by 26 U.S.C. §1042, shall be determined in accordance with 26 U.S.C. §1042(d). For interpretation of federal statutes adopted by the Alabama Legislature see Rule 810-3-1.1-.01, Operating Rules.

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Statutory Authority: Code of Ala. 1975, §§40-2A-7(a)(5), 40-18-6.

History: New Rule: Filed April 28, 1999; effective June 2, 1999.